The Next Small Business Revolution

Why AI + Generational Shift Will Create the Next $13T Opportunity

Executive Snapshot

The strength of the US economy runs through small businesses: 36 million firms[1] that employ nearly half the workforce and contribute 44% of GDP[2]. They are the restaurants, service providers, salons, and family-run shops that anchor communities. Yet, for decades, small businesses have been overlooked by venture capital and neglected by enterprise technology, forced to use tools never built for them or no tools at all. For many owners, that's meant inefficiency, missed moments with their families, delayed retirements, and dreams cut short.

Now, thanks to breakthroughs in AI, cloud infrastructure, and automation, the barriers that once kept small businesses on the sidelines are falling rapidly. In this new era, we see an opportunity for small businesses to redefine success through technology tailored for their needs. The next decade will bring a historic demographic shift as millions of small business owners and workers retire, making way for a new generation of digital-native owners and employees. Their expectations are reshaping how businesses are run, using mobile-first, AI-enabled, outcome-driven tools that foster growth and innovation.

For a bike shop owner, it's AI predicting parts demand so shelves are stocked when riders need them most. For a music studio owner, automated scheduling is critical to maintaining a full schedule and minimizing cancellations. For many, it's the line between barely keeping pace and moving forward with momentum.

The future of small business technology belongs to purpose-built solutions that combine deep industry knowledge with sophisticated technology. When small business owners have the right tools to move faster and act decisively, communities are stronger for it.

The Overlooked Empire: America's $13T Opportunity

Small businesses are the engine of US job creation and economic resilience. They are the daycares that give parents peace of mind, the contractors who keep homes safe, the cafes that bring neighbors together, and the ice cream shops that mark life's celebrations. Yet despite driving nearly half of the US GDP and employing close to half of the US workforce,

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[1] https://advocacy.sba.gov/2025/06/30/2025-small-business-profiles-for-the-states-territories-and-nation/
[2] https://advocacy.sba.gov/2024/07/23/frequently-asked-questions-about-small-business-2024/

they remain one of the most underappreciated market opportunities in technology. Venture capital has historically overlooked startups building for small businesses, dismissing them as incompatible with fund economics and SaaS models. At the same time, software has been designed for large enterprises rather than small owner-operators or mid-sized businesses. The result is that millions of small businesses have been left with tools that either don't fit their needs or no tools at all. However, that is beginning to change. Structural barriers that once made small businesses too difficult to serve are collapsing under the weight of new technologies like AI, cloud computing, and automation. Those who rethink their approach to this market segment can capitalize on one of the most underappreciated opportunities in venture today.

The Scale of Small Business

Small businesses account for 99.9% of all US businesses, employ 62 million people (46% of the workforce)[3], and contribute 44% of the GDP[4]. Every statistic represents a family betting everything on their dream, and behind these statistics are the dry cleaner on the corner, the family-owned neighborhood cafe, the independent local accountant…the heartbeat of a community. This sector is not only massive but dynamic, with one million new businesses launched annually and creating 9 out of 10 net new jobs[5]. Every day, a new plant nursery opens its doors, a mechanic starts a shop, or a tutoring center expands, exemplifying how Main Street is constantly renewing itself. With 36 million small businesses in the US[6], the scale of the opportunity is undeniable, and so is the need.

Why Now is Different

Historically, serving small businesses at scale seemed an impossible task. Fund economics that required 100x returns, unit economics destroyed by high annual churn rates, extreme market fragmentation, and diverse needs of small businesses - from sole proprietorships to companies with 500 employees - created barriers that startups and investors struggled to overcome. Today, technological and market shifts are collapsing these barriers and completely rewriting the economics. Cloud infrastructure has reduced the costs of serving fragmented and geographically dispersed businesses, enabling investors to back startups that profitably reach thousands of rural mechanics across the country. AI now makes mass customization viable, eliminating the manual effort that once made personalization cost-prohibitive. For VCs, this opens the door to scalable models in fragmented markets, and for small businesses, it means a local hardware store can finally get demand forecasts tailored

[3] https://advocacy.sba.gov/2025/06/30/2025-small-business-profiles-for-the-states-territories-and-nation/
[4] https://advocacy.sba.gov/2024/07/23/frequently-asked-questions-about-small-business-2024/
[5] https://advocacy.sba.gov/2025/06/30/2025-small-business-profiles-for-the-states-territories-and-nation/
[6] https://advocacy.sba.gov/2025/06/30/2025-small-business-profiles-for-the-states-territories-and-nation/

to their store, not a generic model built for Lowe's. AI-driven customer service can deliver the high-touch support small businesses rely on without the staffing costs that hurt unit economics. That makes the economics work for startups serving small businesses and the days easier for the independent insurance broker who once spent hours on repetitive calls and emails. Meanwhile, predictive analytics can proactively reduce churn, addressing one of the toughest retention challenges facing companies that serve small businesses. For founders and investors, this means healthier unit economics and stronger growth potential; for the small business owner, it means software that notices when regular customers stop showing up and suggests offers to win them back.

What Success Requires

While the small business landscape is highly fragmented, resource-constrained, and complex to integrate, it presents rich opportunities for those who understand its nuances. Success in the small business market requires a fundamentally different approach than enterprise software: purpose-built solutions designed with a focus on usability and creative monetization beyond subscriptions. The coffee shop owner doesn't have a back office; she has a cash register, a staff schedule, and a line of customers waiting, and she needs technology that fits seamlessly into that reality. Winning models rethink products and business models from the ground up, often leveraging platform dynamics and network effects. Small business success will take a different form than enterprise SaaS, and it will deliver equally strong value. As technology dismantles the barriers that once held small businesses back, the companies that act now will help strengthen the foundation of American communities, one small business at a time.

***"The next great software companies won't be built for Fortune 500.
They'll be built for Main Street."***

The Greatest Business Transfer in History

The small business ecosystem is undergoing an era-defining generational handoff. Behind every small business is a family, and often, generations of them, which makes this transition not just an economic one, but a deeply personal one. Over the next decade, the largest transfer of ownership and workforce in modern history will transform expectations, workforce composition, and technology adoption, ushering in a new wave of younger, tech-native owners and employees who expect AI-powered solutions built for their generation. For the jeweler taking over from his parents, or the architect leaving corporate life to start her own firm, the tools they require to run their businesses look nothing like the ones their predecessors used.

Demographic Shift in Ownership and Workforce

More than half of US small business owners, an estimated 20 million, are over 55, including 6 million already at retirement age[7]. Another 11 million small business employees are over 55[8]. Together, this creates a looming demographic shift of 31 million people that will reshape the small business ecosystem over the next decade. The result is a two-phase retirement crisis. In the near term, owners and workers already at retirement age are creating immediate pressure for succession planning, knowledge transfer, and recruitment. Over the longer term, a rolling wave of retirements will sustain demand for onboarding, workforce development, and leadership transition tools. When a local event space owner retires, he needs a seamless way to pass on decades of community relationships and know-how in running gatherings that anchor local culture. Every time an owner leaves their business without a successor, a community risks losing jobs, local expertise, trusted relationships, and often, a piece of its identity.

Industry Impact

Some industries will feel this demographic shift more intensely than others. Restaurants face a dual challenge: 40% of owners are reaching retirement age while Gen Z is projected to make up 42% of the workforce by 2026[9]. When these longtime owners retire, they often leave behind paper schedules, manual ordering systems, and processes built on personal habits that don't translate to a younger workforce that expects mobile-first scheduling, modern payroll, and digital workflows. Retail faces a similar challenge in workforce shift, with 40% of new hires under 25[10]. The corner art shop that once relied on instinct-driven, paper-based inventory now needs digital systems to meet both worker expectations and customer demand.

Real Estate sits at the other extreme, with a median age of 49 and 59% nearing retirement within a decade[11]. For buyers and sellers, that means the trusted broker who knows every street and family history may be gone just when they're making one of life's biggest financial decisions. Professional Services, including law, accounting, and consulting, face a 45% retirement rate[12], further complicated by their reliance on founding partners' reputations and relationships. A small-town law firm that has guided the same families for generations may struggle to transition that confidence to the next wave of leaders without better succession tools.

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[7] Based on SBA business counts and demographic survey data
[8] Based on SBA business counts and demographic survey data
[9] https://www.bls.gov/cps/cpsaat18b.htm; https://www.bls.gov/iag/
[10] https://www.bls.gov/cps/cpsaat18b.htm; https://www.bls.gov/iag/
[11] https://www.bls.gov/cps/cpsaat18b.htm; https://www.bls.gov/iag/
[12] https://www.bls.gov/cps/cpsaat18b.htm; https://www.bls.gov/iag/

Construction faces one of the steepest challenges, with 65% of small business owners and one in five workers set to retire within a decade[13]. When a site supervisor retires without apprentices ready to step in, projects stall, costs rise, and communities wait longer for critical work to be completed. Manufacturing shows a similar pattern, with 60% of owners and millions of skilled workers set to exit, taking with them decades of industrial knowledge and expertise. A retiring plant owner often takes with them decades of tacit know-how that no manual or software system has ever fully captured. Across these and other sectors, retirement-driven transitions will reshape industries and accelerate demand for technology that supports succession, workforce development, and knowledge transfer.

Mindset Revolution

The next wave of small business owners embodies a unique blend of traditional values and modern innovation. They cherish personal connections and community ties while eagerly adopting digital tools to enhance their operations. These owners make confident, data-driven decisions, balancing growth with stability to stay mindful of risks and foster strong relationships within their neighborhoods as they reach for new markets.

This evolving mindset is shaping diverse waves of new small business entrepreneurs. Digital natives emphasize automation, AI, and seamless technology, expecting their tools to empower agility and innovation. Strategic acquirers aim to modernize legacy businesses by blending heritage with efficiency through the implementation of upgraded systems and technologies. Meanwhile, digital innovators, who grew up immersed in technology, anticipate managing their entire businesses, from scheduling to marketing, directly from their phones.

Together, these varied owners are redefining what Main Street looks like, merging heartfelt values with cutting-edge technology to build sustainable, community-centric businesses that will thrive in the decade ahead.

"More mature owners and operators are less inclined to bring in technology, but younger generations are absolutely welcome to it."

AI Moves From Hype to Survival Tool

For small businesses, AI has moved from an experimental tool to core infrastructure for survival and growth. Faced with economic and operational headwinds, small businesses

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[13] https://www.bls.gov/cps/cpsaat18b.htm; https://www.bls.gov/iag/

are adopting AI to operate more efficiently and remain competitive, and adoption has accelerated at a staggering pace. In 2023, just 23% of small businesses reported using AI; by 2024, that number had jumped to 40%, and today it stands at 58%[14]. What was once experimental has quickly become mainstream, with AI reshaping how small businesses build resilience and pursue growth in ways that were once out of reach. For the independent grocer battling rising costs or the local therapist handling endless paperwork, AI can be a lifeline that keeps the doors open. For many owners, it's about whether they can keep paying their employees, stay open for their community, and pass something on to the next generation.

Economic Pressures Drive Tech Adoption

Nearly half of small businesses name inflation as their top challenge, but concerns around employee retention are rising[15]. While half of small businesses plan to grow their headcount this year[16], one in three report unfilled job openings, and among those actively hiring, 84% say they have few or no qualified applicants[17]. Meanwhile, supply chain instability continues to disrupt operations. In the past six months, half of small businesses have had to alter their supply chains and nearly a third are struggling to keep up with customer demand as a result[18]. That might mean a boutique retailer scrambling to find alternative suppliers or a local bakery forced to raise prices when flour shipments are delayed.

Regulatory burdens add another layer of strain, with eight in ten small businesses saying it takes time away from managing and growing their business[19] and 40% needing to devote additional time or resources to keep up[20]. A small food manufacturer might spend hours on state reporting requirements instead of developing new products, or an auto shop owner might find himself buried in paperwork instead of completing repairs.

These pressures are pushing small businesses to lean into technology as a lifeline: eight in ten have utilized technology to help mitigate supply chain disruptions[21], four in five say technology helps them avoid passing inflation-driven cost increases on to consumers[22], and two-thirds rely on technology to recruit and manage their workforce[23]. For a landscaper

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[14]https://www.goldmansachs.com/community-impact/10000-small-businesses-voices/insights/small-business-owners-optimistic-for-2025-but-urge-washington-to-act-on-key-challenges
[15] https://www.uschamber.com/sbindex/summary
[16] https://www.vistage.com/wsj-small-business-index/
[17] https://www.nfib.com/wp-content/uploads/2025/07/NFIB-July-2025-Jobs-Report.pdf
[18] https://www.uschamber.com/sbindex/summary
[19]https://www.goldmansachs.com/community-impact/10000-small-businesses-voices/insights/small-businesses-plan-to-grow-despite-capital-tax-and-trade-uncertainty
[20] https://www.uschamber.com/sbindex/summary
[21]https://www.uschamber.com/technology/empowering-small-business-the-impact-of-technology-on-u-s-small-business
[22]https://www.uschamber.com/technology/artificial-intelligence/the-impact-of-technology-on-u-s-small-business
[23]https://www.uschamber.com/technology/artificial-intelligence/the-impact-of-technology-on-u-s-small-business

juggling jobs, invoicing, and compliance, leveraging technology is how he makes it home in time for dinner with his family. Two out of three small businesses say their businesses wouldn't survive without technology[24], underscoring just how critical it's become in navigating today's challenges and building small business resilience. For many, it's the difference between shutting down and being able to grow.

AI as a Business Necessity

Small businesses are using AI most heavily in marketing, customer insights, relationship management, and recruiting[25]. For an independent gym, that might mean filling daytime classes through smarter digital ads. For a home services company, it is finding and hiring qualified workers faster than its competitors. The business results are striking: nine in ten AI-enabled small businesses report revenue growth[26], 82% of small businesses using AI increased their workforce in the past year[27], and these high-tech small businesses consistently outpace their low-tech peers in both profitability and growth[28]. Small businesses also cite major gains in efficiency and productivity (80%), streamlined operations (47%), and improved decision-making (46%)[29]. The florist using AI to forecast demand will sell out bouquets instead of throwing away wilted stems. The tailor who uses AI to predict fabric needs avoids costly overstock, while the one still relying on gut instinct ends up with bolts of cloth that never get used.

The Market Shift

This trajectory is expected to continue, with nearly all small businesses (96%) planning to adopt emerging technologies and 84% expecting to increase their overall use of technology, signaling an irreversible mindset shift[30]. The small business AI market is no longer in its experimental phase, but is moving rapidly to mainstream deployment. Increasingly, small businesses view AI as a transformational force that can redefine how they operate, compete, and grow, with 83% of small businesses saying AI helps them compete more effectively with larger firms[31]. Whether it's a boutique holding its own against Target on pricing and personalization or a small coffee shop matching Starbucks in customer engagement, AI is putting Main Street on equal footing with enterprises.

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[24] https://www.uschamber.com/technology/artificial-intelligence/the-impact-of-technology-on-u-s-small-business
[25] https://www.uschamber.com/technology/artificial-intelligence/the-impact-of-technology-on-u-s-small-business
[26] https://www.salesforce.com/news/stories/smbs-ai-trends-2025/
[27] https://www.uschamber.com/technology/empowering-small-business-the-impact-of-technology-on-u-s-small-business
[28] https://www.uschamber.com/technology/empowering-small-business-the-impact-of-technology-on-u-s-small-business
[29] https://www.goldmansachs.com/community-impact/10000-small-businesses-voices/insights/small-business-owners-optimistic-for-2025-but-urge-washington-to-act-on-key-challenges
[30] https://www.uschamber.com/technology/empowering-small-business-the-impact-of-technology-on-u-s-small-business
[31] https://www.uschamber.com/technology/empowering-small-business-the-impact-of-technology-on-u-s-small-business

"The AI revolution isn't about robots. It's about making Tuesday easier for a salon owner in Ohio."

The Untapped Potential of Vertical AI

The future of AI in small business markets will be shaped by vertical players who pair technical capability with deep domain expertise, creating tools that aren't just incrementally better but fundamentally more valuable. For a local credit union struggling to spot fraud across thousands of small transactions, a mid-sized parts manufacturer losing thousands each month to unplanned downtime, and an independent real estate broker spending nights pulling comps and analyzing trends, generic AI solutions won't cut it. Their needs are specific, and only vertical AI, built from the ground up for their workflows, regulations, and nuances, can meet them. Vertical AI solutions outperform general-purpose tools because they deliver immediate, tangible value and create defensible moats through specialized data, superior outcomes, and embedded expertise.

Why Vertical Wins

Horizontal AI platforms promise scale, but often deliver disappointing results that miss the nuanced needs of complex industries. Vertical AI excels by trading breadth for depth, leveraging proprietary datasets and domain-specific workflows to solve problems that general platforms cannot, continuously improving through feedback loops unique to each sector. A healthcare tool that understands clinical documentation, a legal model tuned to case law, or a contractor app that knows local compliance codes will always outperform a generic chatbot. Opportunities like this exist across every sector.

Adoption Patterns by Industry

Different industries present distinct opportunities and challenges for AI implementation, and a two-tier adoption pattern is emerging: data-rich, knowledge-driven sectors, such as Professional Services, lead with 65% AI adoption, while manual, resource-heavy sectors, like construction, lag at only 8%[32]. However, momentum is building, with AI adoption expected to grow 20-30 percentage points across the board over the next two to three years[33]. Some of the highest growth will come from[34]:

- Hotels: 45%→75%, driven by personalization, operational efficiency, and dynamic pricing

[32]https://www.census.gov/hfp/btos/data;https://www.nfib.com/news/press-release/new-nfib-report-how-small-businesses-incorporate-tech-and-ai-advancements/

[33]https://www.census.gov/hfp/btos/data;https://www.nfib.com/news/press-release/new-nfib-report-how-small-businesses-incorporate-tech-and-ai-advancements/

[34]https://www.census.gov/hfp/btos/data;https://www.nfib.com/news/press-release/new-nfib-report-how-small-businesses-incorporate-tech-and-ai-advancements/

- Real Estate: 40%→70%, fueled by smart building technologies and valuation analytics
- Manufacturing: 35%→60%, through predictive maintenance and quality control
- Retail: 60%→80%, via product recommendations, inventory optimization, and demand forecasting
- Restaurants: 25%→45%, through order management and delivery optimization
- Professional Services: 65% → 85%, driven by document processing, data analytics, and automated workflows

Industries that move quickly will unlock compounding advantages in efficiency and customer experience, while slower adopters risk widening competitive gaps.

Proven ROI in Action

The promise of vertical AI is already being realized. For a boutique hotel owner, missing the mark on pricing can result in a loss of up to 20% of their annual revenue. TakeUp's AI-powered revenue management platform changes that story, lifting revenue by an average of 22% and up to 30%[35]. By factoring in local events, competitor rates, and booking patterns, TakeUp provides small operators with the same revenue optimization tools that big chains have had for years. In just 18 months, TakeUp reached six-figure ARR while building a proprietary dataset of 1.5 million pricing decisions.

In construction, where more than half of small business contractors struggle to find skilled tradespeople, Propel People helps them hire 3.5 times faster[36]. Propel's proprietary matching algorithm screens candidates and their skills automatically, saving contractors time while helping them fill roles with the right people. Furthermore, Propel's text message-based application process makes it easier for workers to apply, thereby reducing friction in an industry already facing severe labor shortages.

The future belongs to vertical AI companies that combine deep industry knowledge with technical sophistication. These vertical solutions must align with how small businesses actually buy and use technology. By solving real problems with precision, they create solutions that are not just better than horizontal alternatives but fundamentally different. In a market where 99.9% of US businesses are small businesses[37], the winners will be those who understand their industries best, and that understanding can only come through a vertical focus.

[35] https://takeup.ai/
[36] https://propelpeople.ai/
[37] https://advocacy.sba.gov/2025/06/30/2025-small-business-profiles-for-the-states-territories-and-nation/

The Formula for Small Business Product Success

The small business product success formula is radically different from the enterprise playbook: outcomes over features, simplicity over flexibility, affordability over customization. Winning small business tools are workflow-native, ROI-proven, and built for non-technical users who need immediate impact under resource constraints. The karate studio isn't hiring a CIO. The chocolate shop doesn't have a systems integrator. For them, technology has to work on day one. Small businesses are asking for solutions that give them peace of mind that the business they've built won't slip through their fingers. The companies that thrive in this space will master the art of making sophisticated technology invisible, accessible, and indispensable.

Small Business Mindset and Buying Behavior

Small businesses operate under constraints that shape every aspect of how they evaluate, purchase, and implement technology. With limited staff and no dedicated IT teams (82% of small businesses have no employees[38]), most lack the resources to handle enterprise-level complexity. Easy-to-use tools that work out of the box and require little training are essential. A photographer needs an app that reminds her of overdue invoices while she's traveling between jobs. A pet groomer might pick a billing tool not because it has the most features, but because it syncs with her bank and saves her four hours a week.

Cost sensitivity remains paramount, with small businesses prioritizing affordability, compatibility with existing systems, and ease of use over long feature lists. What matters most is impact: cost savings, revenue growth, and productivity gains. Intangible benefits matter too; for a dental office, that might mean staff no longer dreading paperwork, while for a specialty outdoor retailer, it could mean standing out from national chains by offering more personalized service. The products that win in this market are those that disappear into workflows, prove ROI quickly, and deliver value with minimal friction.

Distribution and Go-to-Market

Unlike enterprises, small businesses don't make purchases through long procurement processes or expensive sales teams. For this reason, customer acquisition costs must be low, scalable, and repeatable. The most successful small business companies rely on product-led growth, partnerships with trusted intermediaries, and digital channels that meet owners where they are. Credibility often comes from peer recommendations and visibility into what tools other small businesses in their community are adopting. The average retail owner isn't browsing market research reports; she's asking her peers in a

[38] https://advocacy.sba.gov/2025/06/30/2025-small-business-profiles-for-the-states-territories-and-nation/

Facebook group or trying the tool another local retailer swears by. Successful go-to-market strategies remove friction from the discovery and onboarding processes, making it as simple as possible for time and resource-constrained small businesses to try, adopt, and expand product usage. If a plumber can't set up a tool between service calls, he won't use it, no matter how powerful it is. Winning in small business tech is about building tools that work as naturally as running the business itself.

"If the solution is great and the price is right, a long implementation time or complex tech will kill the deal."

The Opportunity is Now

The small business market has long been underestimated. With 36 million US small businesses in 2025[39], the scale of this opportunity is undeniable. The tools, the economics, and the timing have finally aligned, and the advantage belongs to those who understand the market deeply enough to build for it.

[39] https://advocacy.sba.gov/2025/06/30/2025-small-business-profiles-for-the-states-territories-and-nation/